

Management Fees

A typical management fee is 2% of committed capital, not invested capital. That is, even though a fund manager has found \$20 million of investments in the first year, the GPs are not paid on the \$20 million of assets under management. They are paid on the full \$100 million of committed capital. As you can imagine, this arrangement leads to very high overall PE fees (see below). The arrangement also leads some GPs to raise the largest possible funds so they can maximize fees. Some PE funds, however, restrict access, and so deliberately refrain from raising the largest fund they can (see Kaplan and Schoar 2005).

The incentive for funds to milk management fees for as long as possible leads to zombie companies. Investors would prefer for zombies to be sold at a loss, or just wound down. Sadly, this is not a decision that the LPs can make. “Private equity is an industry with extraordinary barriers to exit,” quips one PE advisory specialist.⁴⁰

There is a rationale for levying management fees on committed, rather than invested, capital. If management fees were paid on invested capital, GPs might rush to make investments early and in inferior companies. The magnitude and breakdowns of total compensation I report below, however, makes this consideration small. As always, asset owners should pay when value is actually created, not just for managers holding their funds—which could be accomplished otherwise much more cheaply (see chapters 14 and 15).

Carry

The carry is typically 20%. A common arrangement is that distributions are first paid to investors by the fund up until an IRR of 8% is obtained. (This is called the *hurdle rate*.) There are complicated rules that permit only some cash flows (capital commitments, write-downs, fees, etc.) to be counted in the IRR computation. After the 8% hurdle rate is hit, 20% of money paid out from the fund goes to the GPs, leaving investors the other 80%. (The 20% is charged from 0% not 8% at this point.) Sometimes there is a *catch-up provision*, which gives all distributions to the GPs until a certain target is received—typically when the LPs have received 80% of the money paid out. After the catch-up provision, the GPs collect their 20%. PE contracts often have a *clawback* provision. Under a clawback, the GP cannot keep distributions representing more than 20% (usually) of the fund’s cumulative profits. Thus, the clawback requires that any “excess distributions” go to the LPs.

While a management fee of 2% and a carry of 20% (“2/20” in industry parlance) is a common split, there is variation. Management fees range from 1% to 2.5% and carry interest from 20% to 35%. The overall schedule of how distributions are shared between the LPs and GPs is called the *waterfall structure*. Waterfalls can be complex. Management fees, for example, could be declining over the life of a

⁴⁰ Quoted in *Economist*, “Zombies at the Gates,” March 23, 2013.